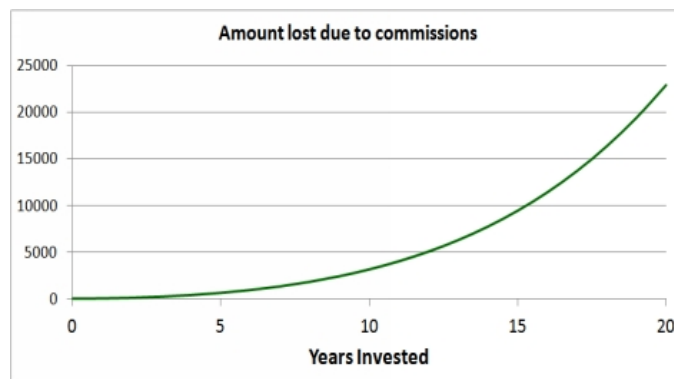


Although both the lines don't differ by much, you could lose over ₹20,000 because you called the wrong office.



To illustrate further, the direct plan fund ends up with a corpus that's ~ 7% higher. In other words, ₹ 23,000 or close to four times the monthly investment is lost because you bought mutual fund units via the bank, distributor or a 'free' online portal and not *directly* from the mutual fund house. That number lost on commissions becomes huge as you increase monthly contributions.

Side Benefit to investing: Taxes automatically get saved by investing in EPF

When investing, the oft repeated question is “*What about tax savings?*”

Well, what about it? Taxes are a way of saying ‘*Thank you*’ to the Government for having a robust economy with good future projections. Anyone who cribs about paying taxes has to grow up. There are better ways to focus your energy like having a small side hustle or impressing your boss onto your next promotion. But people tend to think that saving tax as finance's main goal and only by saving tax, we are good with money.

In fact, it's better to not go searching for ways to save on tax. For eg. when trying to cut down taxes, we partake in home loans or insurance policies wherein you are spending in places you didn't want to initially. But if you simply invest a big percentage of your take-home in equity instruments, you do not get taxed if your holding period is more than a year.